

AGNT pitch deck

PITCH — AGNT — PROPOSED VERDICT: REJECT — NO POSITION (PROPOSED — PENDING ADJUDICATION; both benches concur, conviction 8/10 each)

What we believe

The idea came in as: eXp World Holdings (AGNT) is down 66% from its high on a false “AI will replace real-estate agents” scare, and a +129% adjusted-EBITDA quarter proves the business is fine while the market isn’t looking.

After the adversarial review, we believe half of that. The AI scare genuinely is not the story — agent-based brokerage is not dying (industry transactions and per-agent productivity are growing, per the defense bench’s figures). But the stock is not mispriced either. It is a fairly priced share of a **deteriorating** franchise: stock compensation to agents runs about \$140M a year against roughly \$45M of free cash flow, the share count grew 7.1% in twelve months while buybacks stopped, organic agent growth is near zero, agent satisfaction is falling (NPS 77→69), the commission take rate is compressing, and the company actually winning the share war — The Real Brokerage, growing agents 26% a year — is in the process of buying RE/MAX. At \$4.13, the benches’ math says per-share value creation is approximately **zero**. That is dead money on a worsening trend, and both benches recommend no position.

What the market believes

Roughly what we concluded — which is precisely the problem for the trade. The Q2 report on August 4 was an EPS miss, not an ignored beat ([company release](#)); the small post-report bounce (close \$4.22) fully retraced to \$4.13 within days. The name has live analyst coverage that reacted to the quarter — DA Davidson cut its target to \$4.75 on August 6, essentially at the current price. The 66% decline is fully explained by the share war, the dilution, and the widening GAAP losses; no AI narrative is needed. The market’s read and the court’s read converged.

Why we might have edge

Honestly, mostly we don’t — the review found the market’s pricing rational. The residual items the market may underweight:

- **The AI-fear rebuttal held up.** If the stock ever sells off again specifically on an “agents are obsolete” narrative, we have data-backed grounds to treat that as a false scare.
- **RE/MAX integration churn cuts both ways.** ~140,000 RE/MAX agents entering an acquisition integration is recruiting opportunity for eXp — a possible source of upside surprise at

the Q3 report.

- **Stock compensation is trending down** (\$209M → \$140M trailing-twelve-months), and the math turns mechanically favorable at lower prices: the dilution drain shrinks in dollar terms as the price falls, so below roughly \$4.10 the annual share issuance costs less than the ~\$45M of free cash flow.

Why it might be priced in

- This is a covered, actively followed stock with live consensus — not an overlooked corner of the market. Analysts saw the quarter and re-marked it to the tape.
- The post-report pop fully retraced, meaning the market digested the “record adjusted EBITDA” headline and correctly weighed it against the EPS miss and the stock-comp add-back.
- The loudest published bear case now targets \$4.75 — *above* the current price. There is no visible gap between our corrected view of fair value and where the stock trades.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Cheap at ~11x adjusted EBITDA”	Pulled quarterly cash-flow statements (stockanalysis.com); both benches independently	Stock comp was \$37.1M in Q2 and \$140.4M TTM — the press release’s “~\$13M” is only the option slice. Adjusted EBITDA (\$25.7M) adds back a stock-comp line 1.4× its own size.	REFUTED. Bench error (red): counted the same agent-equity cost twice — as an expense <i>and</i> as dilution — to claim — \$80M/yr of economic earnings. Blue’s single-count correction: value creation ≈ zero, not deeply negative. Direction stands; magnitude was wrong.
“The market ignored a +129% EBITDA quarter”	Press release, StreetInsider, MarketBeat, same-day tape from the evidence pack	It was an EPS miss (9¢ per StreetInsider, 4¢ per MarketBeat — different consensus bases), and the bounce fully retraced (\$4.13 < \$4.22 Aug-4 close).	REFUTED. Bench errors (red): cited “H1 operating cash flow -22%,” which was a Q1-driven cherry-pick — Q2-on-Q2 operating cash flow actually rose (\$38.8M vs \$36.1M); and quoted the wrong tape (\$4.39, 19% off the low) versus the shared pack’s \$4.13, 12.1% off the low.

Claim	How checked	Found	Confirmed?
“The agent-based model isn’t dying”	Real Brokerage Q2 results (BusinessWire), RISMedia, HousingWire	True — but inverted against us. The model is healthy; eXp is losing it . Real: agents +26% to 35,348, revenue +30%, adjusted EBITDA \$27.6M (more than eXp’s), and an \$880M RE/MAX acquisition (DOJ cleared; shareholder vote Aug 14; close H2’26). eXp organic adds $\approx$ 100/quarter.	CONFIRMED — against the thesis.
Dilution rate	Press-release share count vs evidence pack	167.1M shares vs 156.1M a year ago = +7.1%; buybacks \$0 in H1’26 (vs \$29.9M in H1’25) while \$16.1M of dividends went out.	CONFIRMED.
Next earnings date Nov 5	yfinance-derived only; no company PR names it	—	UNCONFIRMED.
10-Q details: NextHome purchase accounting, escrow vs. unrestricted cash split, buyback authorization	SEC.gov returned 403 errors to both benches; IBKR account data was permission-denied	Unread	NOT CONFIRMED — the largest open item on both sides.

PROPOSED ENTRY BANDS

The courts say no entry, so these are the reopen bands, built from the benches’ own math:

- **No entry near the current price at any point.** Fair value per the corrected math is roughly \$4.10–\$4.75 (per-share value creation $\approx$ zero at \$4.13; the most bearish published analyst target is \$4.75). There is nothing to buy in that band.
- **Price reopen: below ~\$3.30–\$3.50** — a decisive break of the \$3.685 52-week low. At those prices the annual dilution drain ($\sim$ 11M new shares $\times$ price $\approx$ \$36–39M) falls clearly below the $\sim$ \$45M of estimated free cash flow, so per-share economics turn positive on the bear bench’s own numbers. A break there triggers a **new court run, not an automatic buy** — the deteriorating-trend objection must still be answered.
- **Fundamental reopen — any one of these, checked at the Q3 report (~Nov 5, date unconfirmed):** organic agent additions above 1,000/quarter; stock compensation guided below \$100M/year; the buyback restarted; or visible evidence that RE/MAX integration churn is sending agents to eXp.
- **Near-term calendar:** Aug 14 — Real Brokerage shareholder vote on the RE/MAX deal; H2’26 — deal close. Either event materially shifting the agent-migration picture is grounds to re-look early.
- **Sizing if ever reopened:** start small (starter-size at most). Both benches landed 8/10 against; any future long begins as a probe, not a full position.

ARMED SENSORS

- **NONE ARMED** — the deck must flag this as a gap

This is a gap. Nothing is watching this name, yet the courts' own reopen conditions require watchers. Sensors the court implies are missing:

- Price alert below \$3.685 (52-week-low break → reopen review).
- Q3 earnings-date confirmation watch (the Nov 5 date is unconfirmed).
- 8-K / press-release watch for a buyback restart or stock-comp guidance change.
- RE/MAX deal watch: Aug 14 vote result, closing announcement, and post-close agent-migration signals (including eXp recruiting announcements).
- Real Brokerage quarterly agent-count tracker (the share-war scoreboard).
- Short-interest / crowding read — never taken by either bench.
- Retry of the blocked 10-Q read once SEC access recovers.

What remains unverified

- **The 10-Q itself** — neither bench could read it (SEC 403s). Three material items hang on it: how many of the 11M new shares were NextHome acquisition consideration vs. agent compensation; how much of the ~\$111M cash is customer escrow vs. truly unrestricted; and whether a buyback authorization remains open.
- **The ~\$45M free-cash-flow and \$111M unrestricted-cash figures** used in the reopen math are the defense bench's estimates, dependent on that unread filing.
- **The Nov 5 earnings date** (yfinance-derived, no company confirmation).
- **The size of the EPS miss** (9¢ vs 4¢ — two data vendors used different consensus bases; the miss itself is not in doubt).
- **Short interest, crowding, and attention** — no read was ever taken.
- **A data-quality note on our own pipeline:** the machine-built evidence pack's fundamental (XBRL) tables were badly stale — revenue rows end in 2018 — so both benches did current-period math from the press release and third-party aggregators rather than audited-filing values. That is a pack-builder defect worth fixing regardless of this verdict.

One process note: this session has no shell or file-write access, so the deck could not be saved to `court_artifacts/` and the standing dashboard-update step (ledger upsert, entry plan, scanner re-run) could not execute — both need to be run from a session with Bash before this verdict is adjudicated.